

DIGITALAIKART

PREMIUM DIGITAL PRODUCTS

THE FREELANCER GET-PAID KIT

INDIAN EDITION · 2026

Contracts, invoices, follow-up scripts and legal tools
that make sure your work never goes unpaid

READ-TO-USE CONTRACT

3 INVOICE FORMATS

6 FOLLOW-UP SCRIPTS

MSME 45-DAY RULE

For designers, writers, developers, consultants and creators
billing Indian and international clients

EVERY FACT VERIFIED AGAINST OFFICIAL SOURCES · SEPTEMBER 2026

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CHAPTER 0

What's Inside This Kit

Ten chapters, seven ready-to-use templates, one goal: you get paid on time, every time.

Getting the work is half the job. The other half, where most freelancers bleed money, is getting paid for it. In an analysis of 109 recent r/freelance threads, payment disputes scored 89 out of 100 on the pain scale, and the Freelancers Union found 71 percent of freelancers have struggled with non-payment at some point. In India the problem compounds: there is no escrow on direct client work, tax deducted at source creates its own refund chase, and the strongest recovery law in the country, the MSME 45-day rule, is almost unknown to the freelancers it was written for.

This kit turns getting paid from luck into a system. It contains the contract clauses that matter, three invoice formats that match GST rules, a follow-up script ladder from first reminder to legal notice, the MSME Samadhaan recovery route explained step by step, the rules for receiving international payments without losing 3 to 5 percent to hidden charges, and a tax quick-reference covering TDS, presumptive taxation and advance tax for FY 2026-27.

How to use it

- Copy the templates in Chapters 4, 5, 6 and 7 into your emails and invoices; replace [brackets] with your details.
- Already chasing an unpaid invoice? Jump to Chapters 6 and 7 - the follow-up ladder and legal routes.
- If you bill clients abroad, read Chapter 8 before your next invoice - it saves its cost on one payment.
- Read Chapter 9 once and keep the tax tables handy: every number is current for FY 2026-27.

The chapters

Ch.	What it gives you
1	Why freelancers don't get paid, and the five failure points to fix
2	The 7 Rules of Getting Paid - the habits that make non-payment nearly impossible
3	Client vetting: 12 red flags and 5 verification checks before you say yes
4	The payment-protection contract: 10 clauses explained + a full template
5	The invoice that gets paid: GST-compliant formats for domestic, export and non-GST billing
6	The follow-up system: six scripts from friendly nudge to final notice
7	The escalation ladder: demand letter, MSME Samadhaan, cheque bounce, civil route
8	Getting paid from abroad: LUT, e-FIRA, purpose codes and platform choices
9	Tax and TDS decoded for FY 2026-27: 194J, 44ADA, GST, advance tax, slabs
10	The money system: accounts, tax reserve, record keeping, compliance calendar

A note on scope

This kit is practical information for freelancers, not legal, tax or financial advice; rules depend on your facts, so confirm anything material with a chartered accountant or lawyer. All figures are current as of September 2026 and their official sources are listed on the final page.

CHAPTER 1

Why Freelancers Don't Get Paid

The problem, the data, and the five failure points that cause almost every unpaid invoice.

The numbers behind the problem

Non-payment is not a fringe risk of freelancing. It is the single most common serious problem freelancers report. A study of 109 recent r/freelance posts scored payment disputes at 89 out of 100 on a pain scale, just behind losing a major client (92). The Freelancers Union found 71 percent of freelancers have struggled with non-payment at some point. Indian freelancers add two local complications: clients know that a small freelancer is unlikely to sue, and the freelancers themselves often do not know that a free government recovery mechanism exists specifically for them (Chapter 7).

The five failure points

Almost every unpaid invoice traces back to one or more of these. Fix them and the odds swing sharply in your favour.

- 1. No written scope. 'Can you also add...' turns a two-week project into two months. Without a written scope and revision limits, every extra request is free work the client never agreed to pay for, and every dispute becomes your word against theirs.
- 2. No advance. Starting work before money moves hands the client all the leverage. A client with money on the table negotiates scope seriously; a client with nothing invested does not.
- 3. Delivering everything before final payment. Once the client has the final files, source code or admin access, their incentive to pay drops toward zero. This is the most expensive habit in freelancing.
- 4. Weak invoicing. Invoices without a number, a due date, correct GST details or payment instructions give the client a procedural excuse to park your bill at the bottom of the pile.
- 5. No escalation path. Most freelancers send three polite emails, feel embarrassed, and write the money off. Buyers who delay payments run a calculated cost-benefit; the answer to slow payment is a system that makes delay more expensive than paying you.

The math of one unpaid invoice

Say you quote a project at ₹40,000, work 60 hours at an effective ₹667 an hour, and the client ghosts. You have lost 60 hours of paid capacity. To recover ₹40,000 of profit at a 50 percent margin you must now bill ₹80,000 of new work. One bad client does not cost you one project. It costs you two. That is why this kit spends its first half on prevention, which is cheap, before it reaches recovery, which is expensive.

The mindset shift

Freelancers treat payment as the last step of a project. Businesses treat it as the first. The chapters that follow move payment to the front: vet the client, sign the scope, take the advance, and only then open your laptop. Clients who resist that sequence are telling you something. Believe them.

CHAPTER 2

The 7 Rules of Getting Paid

Non-negotiable habits. Every one of them exists because thousands of freelancers learned it the hard way.

Rule 1 - No advance, no start

Take 30 to 50 percent of the project value before any work begins. For new clients, 50 percent is reasonable; long-standing clients may earn 30 percent. Frame it as standard practice, not a request: 'Work begins on receipt of the 50 percent advance.' An advance does three jobs: it filters out clients who never intended to pay, it funds your first milestone, and it gives the client a sunk reason to stay engaged.

Rule 2 - Milestones, never one final bill

Break every project above ₹25,000 into 2-4 milestones, each with its own deliverable, due date and invoice. If a project goes wrong at milestone two, you have been paid for milestone one. A single final bill means the entire project rides on one moment of client goodwill.

Rule 3 - Final files after final payment

Deliver previews, watermarks or low-resolution drafts freely, but the final source files, code repository access, admin credentials and full-resolution exports are released only after the last invoice clears. Write this into the contract (Chapter 4) so it never feels personal - it is policy. Combine with Rule 1 and the worst possible outcome of a bad client is losing the unpaid half, never the whole project.

Rule 4 - Written scope with revision limits

Every project gets a one-page written scope: deliverables, formats, number of revision rounds (two is standard), what counts as a revision versus a new requirement, and the hourly rate for out-of-scope work. 'Two rounds of revisions included; further changes billed at ₹X/hour' kills scope creep in one sentence.

Rule 5 - Invoice like a business

Sequential invoice numbers, clear due date (7 or 15 days, never 'Net 60' for a freelancer), GSTIN if registered, payment instructions with UPI ID or bank details, and a late-payment interest clause that you actually apply from day one of delay. Chapter 5 gives you the three formats. An invoice that looks procedural gets treated procedurally.

Rule 6 - Kill fee for cancelled projects

If the client cancels after work has started, they pay for work done plus a kill fee of 25 to 50 percent of the remaining value. Clients cancel casually because cancellation is free. A kill fee in the contract changes that arithmetic, and paradoxically makes cancellations rarer.

Rule 7 - Keep the paper trail

Everything in writing: the contract, scope changes by email, delivery confirmations, invoice PDFs with read receipts, payment reminders. If you use WhatsApp for work conversations, follow every verbal agreement with an email summary ('As discussed on call today...'). Chapter 7's recovery routes - MSME Samadhaan, demand letters, cheque bounce - are won or lost on documents. Five minutes of filing per week is the cheapest insurance in your business.

CHAPTER 3

Client Vetting: 12 Red Flags

Scams and deadbeat clients follow patterns. This checklist catches them before you invest a single hour.

Reddit's freelance communities maintain a living catalogue of scam patterns, and new freelancers burn weeks of energy separating real clients from fake ones. Vetting is a skill. Run every new enquiry through the twelve flags below; two or more is a warning, three or more is a no.

#	Red flag	What's actually happening
1	First contact is an unsolicited offer on Telegram, Instagram or WhatsApp with flattery and urgency	Classic fake-lead setup; the urgency exists to stop you verifying anything
2	Rates well above market for easy work	The bait. Real clients negotiate down; fake ones negotiate up to hook you
3	You are asked to pay anything upfront: training kit, software licence, registration fee, refundable deposit	A client pays you; a scammer charges you. No exceptions
4	Insistence on moving the conversation off-platform immediately	Platform escrow and reviews are your protection; removing them is the point
5	A 'test project' that is clearly billable work (full article, full design, working feature)	Free work is the scam. Real tests are 30-60 minutes and already-scoped
6	No verifiable digital footprint: no LinkedIn, no website, company not on the MCA portal	If the company does not exist in the Ministry of Corporate Affairs database, treat it as a pseudonym
7	Refuses to sign any agreement or share a GSTIN/PAN	A real business signs things routinely; refusal is information
8	Only a personal Gmail with no company domain, plus refusal to do a video call	Legitimate buyers have infrastructure and faces
9	Payment terms pushed as 'after client approval' or 'Net 90' from day one	Approval is undefined forever; you are being offered an option, not a contract
10	Profile photo is a stock image or model (reverse image search it)	Identity laundering
11	Early small cheque that bounces, then a larger 'replacement' arrangement	Building trust to size up a bigger take
12	Scope shifts continuously before signing, each version bigger	You are watching the scope creep arrive before the deposit does

Five verification checks before you say yes

- Company lookup: search the name and CIN on the MCA portal (mca.gov.in). No record, no contract.
- GSTIN lookup: verify a GSTIN on the GST portal (gst.gov.in, 'Search Taxpayer'). Mismatched legal name is a red flag; a matching one gives you a verified entity to invoice.

- LinkedIn cross-check: the person's profile, tenure, and colleagues. Message someone in the same company if unsure.
- Reverse image search the profile photo and the company's 'team' photos.
- Payment probe: for sizeable projects, make the advance itself the test. A client who evaporates at the advance stage just saved you a month of unpaid work.

Trust, but verify - especially mid-project

The most painful scams are not the obvious ones. They are month-three clients, with a paid history, who suddenly request one large out-of-scope favour 'on the usual terms'. When any client, however trusted, changes payment behaviour, slow everything down and re-run this checklist.

CHAPTER 4

The Payment-Protection Contract

Ten clauses that matter, explained in plain language, then a complete fill-in template you can send today.

Why a contract at all

Under the Information Technology Act, 2000, contracts concluded electronically - by email, e-signature or even a clear exchange of messages recording agreement - are enforceable in India. A signed PDF sent over email is a real contract. The contract is not there because you expect court; it is there because it converts every later conversation from 'please pay me' to 'clause 6 says day 15'. Payment disputes mostly end at the moment a contract is quoted, because buyers understand what clause 6 means and what quoting it costs them.

The ten clauses that matter

Clause	What it does	What to write
1. Parties	Fixes exactly who owes you money - the company, not the friendly employee	Full legal names, addresses, PAN/GSTIN of both sides
2. Scope of work	The boundary that kills scope creep	Deliverables, formats, what is explicitly excluded
3. Revisions	Caps free changes	'Two rounds of revisions included; further changes at ₹X/hour'
4. Timeline	Your delivery obligations, dated	Milestone dates, client-feedback windows (48-72 hours)
5. Fees and schedule	The money, in milestones	Advance %, milestone payments, final payment on delivery
6. Payment terms	When invoices are due, and the price of delay	Due in 7/15 days; 18% p.a. interest on late payment
7. IP transfer on payment	The client owns the work only after paying in full	'All IP transfers upon full and final payment'
8. Termination and kill fee	Covers mid-project cancellation	Work done is payable, plus 25-50% of remaining value
9. Confidentiality	Protects both sides' material; builds trust	Mutual, 3-5 years
10. Disputes	Where and how a fight would be resolved	Arbitration clause, city jurisdiction

Clause 7 is the one clients read twice

Intellectual property transferring only on full payment is the clause that keeps your leverage after delivery. Until payment completes, the work remains yours; a client using unpaid work commercially is infringing. It is standard professional practice - every agency in India works this way - so state it without apology.

The fill-in template

Send this as a PDF for e-signature, or paste it into an email and ask the client to reply 'Agreed'. Replace everything in [brackets]. It is deliberately one page of substance; a contract a client will actually read beats a twelve-page one they will skim.

FREELANCE SERVICES AGREEMENT

This agreement is made on [DATE] between [YOUR NAME] ('Service Provider'), residing at [YOUR ADDRESS], PAN [XXXXXX0000X], GSTIN [if registered], and [CLIENT / COMPANY LEGAL NAME] ('Client'), having its registered office at [CLIENT ADDRESS], PAN/GSTIN [number].

1. SERVICES. The Service Provider will provide: [describe deliverables and formats in detail]. Anything not listed here is excluded and quoted separately.
2. TIMELINE. Work begins on receipt of the advance and proceeds per the milestone schedule in Annexure A. Deadlines shift by the length of any delay in the Client's feedback beyond 72 hours.
3. FEES. Total fee: ₹[AMOUNT]. Payable as: 50% advance (₹[AMOUNT]) before work begins; 50% (₹[AMOUNT]) on delivery of final deliverables. Milestone payments as per Annexure A.
4. PAYMENT TERMS. Invoices are due within [7/15] days of issue. Overdue amounts attract interest at 18% per annum, calculated monthly, from the due date until realised.
5. REVISIONS. Two rounds of revisions per deliverable are included. Additional rounds, new requirements or changes in direction are billed at ₹[RATE] per hour.
6. INTELLECTUAL PROPERTY. All deliverables remain the property of the Service Provider until the Client makes full and final payment, upon which all assigned IP rights in the deliverables transfer to the Client. The Service Provider may display the work in a portfolio.
7. TERMINATION. Either party may terminate on 7 days' written notice. On termination, the Client pays for all work performed to date plus 25% of the value of unperformed work.
8. CONFIDENTIALITY. Both parties will keep confidential all non-public information of the other party disclosed under this agreement, for 3 years.
9. DISPUTES. Any dispute will first be attempted to be resolved by mutual discussion for 15 days, failing which it will be referred to a sole arbitrator under the Arbitration and Conciliation Act, 1996, seated at [YOUR CITY]. Courts at [YOUR CITY] alone will have jurisdiction.

Agreed and accepted:

Service Provider: [YOUR NAME] · Date: [DATE] Client: [NAME, DESIGNATION] · Date: [DATE]

Make Annexure A do the work

The milestone table is where projects are actually governed: columns for milestone, deliverable, due date and payment. Both parties initial it. When the client asks 'where are we?', the answer is a row in a table, not a long email thread.

CHAPTER 5

The Invoice That Gets Paid

Three formats that match GST rules - domestic registered, export under LUT, and simple non-GST - plus the terms that get you paid faster.

What a GST-compliant invoice must contain

If you are registered for GST, Rule 46 of the CGST Rules requires your tax invoice to carry specific details. Missing elements give buyers an excuse to query and park the invoice. The essentials: your name, address and GSTIN; the client's name, address and GSTIN (or UIN); a consecutive serial number and date; description of services with HSN/SAC code; taxable value; rate and amount of GST (CGST + SGST for intra-state, IGST for inter-state); place of supply; and your signature. Below the threshold, a simple commercial invoice still protects you - format C works.

Format A - Domestic client, you are GST-registered

TAX INVOICE

Invoice No: [FY-SEQ, e.g. 26-27/014] Date: [DD/MM/YYYY]

From: [YOUR NAME], [ADDRESS], GSTIN: [22AAAAA0000A1Z5], State: [STATE + CODE]

To: [CLIENT COMPANY], [ADDRESS], GSTIN: [CLIENT GSTIN], State: [STATE + CODE]

Place of Supply: [CLIENT STATE]

SAC 998314 (or your service code) - [Service description, e.g. Brand identity design, SOW dated 02-09-2026]

Taxable value: ₹[50,000] CGST 9%: ₹[4,500] SGST 9%: ₹[4,500] Total: ₹[59,000]

(Inter-state client: IGST 18%: ₹[9,000] instead of CGST + SGST)

Payment due: [15 days from invoice date] · UPI: [ID] · Bank: [A/c, IFSC]

Late payment interest of 18% p.a. applies on amounts past due, per clause 4 of our agreement.

Authorised signatory: [YOUR NAME]

Format B - Foreign client, export under LUT (zero-rated)

EXPORT INVOICE (SERVICES)

Invoice No: [FY-SEQ] Date: [DD/MM/YYYY]

From: [YOUR NAME], [ADDRESS, INDIA], GSTIN: [NUMBER]

To: [CLIENT LEGAL NAME], [ADDRESS, COUNTRY]

Details of LUT: [ARN] dated [DATE], FY 2026-27

SUPPLY MEANT FOR EXPORT UNDER LETTER OF UNDERTAKING WITHOUT PAYMENT OF INTEGRATED TAX.

Description: [Service] · Value: [USD 5,000] · GST: 0% (zero-rated export)

Invoice value in words and INR equivalent at [rate] on [date]: ₹[4,18,000]

Payment: SWIFT/wire to [BANK DETAILS, SWIFT code] · Purpose code: [P0802 for software/IT services]

Authorised signatory: [YOUR NAME]

The declaration line in bold is mandatory for LUT exports and your invoice must reference your LUT details. Report these invoices in the exports table (Table 6A) of GSTR-1. Keep the e-FIRA your bank or platform issues against each receipt as proof the money actually arrived from abroad (Chapter 8).

Format C - Below the GST threshold (simple)

INVOICE

Invoice No: [SEQ-2026-014] Date: [DD/MM/YYYY]

From: [YOUR NAME], [ADDRESS], PAN: [XXXXX0000X]

Bill To: [CLIENT NAME], [ADDRESS]

Description: [Service and scope reference] Amount: ₹[40,000]

TDS: This invoice is subject to TDS under Section 194J where applicable (see Chapter 9).

Due: [15 days] · UPI: [ID] · Bank: [A/c, IFSC]

Late payment interest 18% p.a. per our agreement, clause 4.

Signature: [YOUR NAME]

Terms that change how fast you get paid

- Due in 7 or 15 days. 'Net 30/60' is a corporate courtesy between companies with procurement departments. Freelancers price the relationship correctly with short terms.
- Interest clause printed on every invoice. You may never apply it; printing it means the client's accounts team schedules you correctly.
- One page, no ambiguity. The payable amount, due date and payment instructions should be findable in five seconds by a tired accountant.
- Sequential numbering, always. It signals books that exist and makes your ageing report credible in any later dispute.
- Send on delivery day, not month-end. Same-day invoicing cuts average payment time measurably; a delivered project and its invoice arriving together reads as one event.

CHAPTER 6

The Follow-Up System

Six scripts that escalate on a fixed calendar. No emotion, no improvisation - just a ladder the client can see coming.

The biggest follow-up mistake is randomness: three polite emails in week one, then embarrassed silence. A system is the opposite: predictable steps on fixed days, each slightly firmer, each in writing. Copy these scripts; replace the [brackets]. Tone rule throughout: assume an administrative problem until Step 4, and even then stay procedural. The moment it reads emotional, it reads optional.

SCRIPT 1 · INVOICE DAY - the confirmation

Subject: Invoice [014] for [project] - due [date]

Hi [Name], delivering [deliverable] today, attached. Invoice [014] for ₹[59,000] is attached as well, due on [date]. Payment details are on the invoice - UPI [ID] or NEFT to the account listed. Please confirm receipt of this email. Thanks for a smooth project!

WhatsApp version: Hi [Name], attached [deliverable] + invoice 014 (₹59,000) due [date]. Payment details inside. Please confirm.

SCRIPT 2 · DAY 3 OVERDUE - the friendly nudge

Subject: Gentle reminder - invoice 014

Hi [Name], quick nudge on invoice 014 (₹[59,000]), which was due on [date]. Accounts slip sometimes - could you confirm it's in the payment run this week? If you need the invoice re-sent or details changed, happy to help.

WhatsApp: Hi [Name], invoice 014 was due [date] - just checking it's scheduled? Let me know if you need anything.

SCRIPT 3 · DAY 10 - the firm, factual follow-up

Subject: Invoice 014 - 10 days past due, interest clause applies

Hi [Name], invoice 014 (₹[59,000]) is now 10 days overdue. Per clause 4 of our agreement, interest at 18% per annum applies on overdue amounts. I'd like to keep this simple: could you confirm a payment date by [day]? If there's an issue - with the work or the process - tell me today and we'll sort it out.

SCRIPT 4 · DAY 20 - the internal escalation

Subject: Unpaid invoice 014 - requesting escalation to [Finance/Founder]

Dear [Owner/Finance head name], I'm [Your name], who has been working with [team] on [project] since [month]. Invoice 014 (₹[59,000]), due [date], is 20 days overdue despite reminders on [dates]. I'd appreciate this being scheduled in the current payment cycle. If it isn't resolved by [date], I'll have to escalate it through the MSME delayed-payment process, which carries statutory interest - I'd rather we settled it directly.

(If your client is a company, find the promoter on LinkedIn and CC the accounts email. Unpaid invoices travel upwards, not sideways.)

SCRIPT 5 · DAY 30 - the final notice

Subject: FINAL NOTICE - invoice 014, ₹[59,000]

Dear [Name], this is a final notice for invoice 014 (₹[59,000]), due [date], now 30 days overdue. As per our agreement and the MSME Act, 2006, statutory compound interest is accruing on this amount. Please pay within 7 days, by [date], failing which I will file a delayed-payment claim on the MSME Samadhaan portal and pursue recovery of principal plus statutory interest and costs. I would genuinely prefer to close this amicably.

(Attach: invoice, agreement, delivery proof, all reminder emails. Send by email and registered post/courier if you have the address - registered dispatch is powerful evidence.)

SCRIPT 6 · DAY 45+ - the demand letter

Subject: Demand for payment - ₹[59,000] + statutory interest

To, [Client legal name and address]. Sub: Demand for payment of ₹[59,000] with interest under the MSMED Act, 2006.

1. I supplied [services] per agreement dated [date] and purchase order [no]. 2. Deliverables were delivered and accepted on [date] (delivery confirmation attached). 3. Invoice 014 dated [date] for ₹[59,000] remains unpaid 45 days past due. 4. Under Section 15/16 of the MSMED Act, buyers must pay registered micro-enterprises within 45 days, failing which compound interest at three times the RBI bank rate accrues monthly.

You are called upon to pay ₹[59,000] plus accrued interest within 15 days of this notice, failing which a delayed-payment claim will be filed on samadhaan.msme.gov.in.

[Your name], Udyam Reg. No. [number] (enclosed), [signature, date]

Why the system works

Each script references the next step, so by Day 30 the client has watched a process, not a mood. Buyers delay payments against freelancers because silence is free. This calendar makes delay progressively expensive and documented - which is exactly what Chapter 7 turns into a claim.

CHAPTER 7

The Escalation Ladder

From demand letter to MSME Samadhaan to cheque bounce to civil suit - the legal routes that actually recover money in India.

The secret weapon: the MSME 45-day rule

If you register as a micro enterprise on the free government Udyam portal (udyamregistration.gov.in), the Micro, Small and Medium Enterprises Development Act, 2006 gives you protection that no contract can match. The Supreme Court held in *Silpi Industries v. Kerala SRTC* (2021) that your Udyam registration must predate the contract, so register today, before your next project - the certificate is free, online and Aadhaar-based.

Protection	The rule
Payment ceiling (Section 15)	Even if your contract says Net 90, a buyer must pay a registered micro/small supplier within 45 days of accepting the goods or services. No written terms: 15 days. Contract clauses cannot override this
Statutory interest (Section 16)	Miss the deadline and the buyer owes compound interest at three times the RBI bank rate, calculated monthly. The buyer cannot deduct this interest as a business expense
Recovery forum (Section 18)	File free on samadhaan.msme.gov.in ; your state Micro and Small Enterprise Facilitation Council conciliates, then arbitrates, targeting a decision within 90 days
Anti-appeal barrier (Section 19)	A buyer challenging an award must first deposit 75% of the award amount with the court

Filing on Samadhaan, step by step

- Register on Udyam if you have not (must predate the invoices you claim on).
- Send the demand notice (Script 6). The law expects the buyer to get a chance to pay; the notice is also your leverage.
- File at samadhaan.msme.gov.in with your Udyam number: buyer details (PAN/GSTIN), order/contract reference, invoices, and proof of delivery or acceptance (delivery emails, signed challans, approval messages).
- The Council issues notice to the buyer, tries conciliation, then arbitration. The buyer's non-appearance does not stop the process.
- Practical note: the first hearing notice takes roughly a month and cases need follow-up, but a large share of matters settle when the buyer realises 3x compound interest, 75% pre-deposit and MSEFC arbitration are on the table.

If the client hands you a cheque that bounces

A dishonoured cheque is a criminal offence under Section 138 of the Negotiable Instruments Act, 1881, and it runs on its own strict clock. It is often the fastest pressure point available, because it carries personal criminal exposure for the signatory, not just civil liability for the company. The three windows, all non-negotiable:

- 30 days: from receiving the bank's return memo, send a written demand notice stating the cheque amount and dishonour date.
- 15 days: the drawer's cure period to pay in full. Most matters end here - which is why a well-drafted notice sent immediately recovers money on its own.
- 1 month: if still unpaid, file the criminal complaint before the appropriate Judicial Magistrate within one month of the cure period ending. Courts rarely forgive delay on this route.

The civil route

Without Udyam registration, or for disputes with foreign or larger counterparties, the standard routes are a civil suit for recovery (limitation is generally three years from when the debt became due), or arbitration if your contract has a clause - which is why Chapter 4's template includes one. A summary suit under Order XXXVII CPC is faster than an ordinary suit because the defendant must get court leave to defend. For freelancers, the honest ranking is: MSME Samadhaan first (free, fast, punitive), cheque bounce second (criminal pressure), civil third (slow, expensive - a last resort).

Foreign clients

The statutory routes above apply to Indian buyers. For foreign clients: keep work on platforms with escrow (Upwork's protection, Fiverr milestones) while trust builds; for direct clients, insist on milestone advances via wire or Wise (Chapter 8); and treat repeated invoice delays as the signal to pause work, because cross-border recovery is realistic mainly for large, well-documented claims.

The 15-minute audit

Today: (1) check your Udyam status on udyamregistration.gov.in - if unregistered, register now, before your next contract; (2) confirm your current contracts have an arbitration clause and 18% late interest; (3) list any invoice over 45 days old and send Script 6. That is the entire ladder, maintained.

CHAPTER 8

Getting Paid From Abroad

Zero-rated exports, the LUT, e-FIRA and the platform choice that decides whether you lose 0.5 percent or 5 percent of every payment.

Why your export income is GST-zero

Money from foreign clients is an export of services, and exports are zero-rated under Section 16 of the IGST Act. Zero-rated is not the same as exempt: you charge 0 percent GST to the client and, if registered, can still claim refunds of the GST you paid on your business expenses (software subscriptions, laptop, co-working). But 'export' status depends on five conditions under Section 2(6) of the IGST Act: you are in India; the client is outside India; the place of supply is outside India; payment arrives in convertible foreign exchange (or permitted INR); and you and the client are not branches of the same entity.

The trap that converts exports into taxable income

If a foreign company pays you from its Indian subsidiary, in INR into your Indian account, the transaction is not an export - it is an ordinary taxable supply and 18 percent GST applies. Similarly, if you leave dollars sitting in a platform wallet and never bring them into India, you weaken the forex-receipt condition. Get paid into a bank.

The LUT: one small form, every year

Without a Letter of Undertaking, a registered exporter must charge 18 percent IGST on foreign invoices and then claim refunds - money parked with the department for months. With a LUT (Form GST RFD-11, free, filed on the GST portal), you invoice at 0 percent with no cash blocked. File it once per financial year, before your first export invoice of the year - it is prospective only and cannot cover invoices raised before it was on file. Use Format B in Chapter 5, report exports in GSTR-1 Table 6A, and keep the acknowledgement.

Paperwork that makes you audit-proof

- e-FIRA / FIRC: the Foreign Inward Remittance Advice your bank (or platform's partner bank) issues for each receipt. It proves compliant foreign receipt and supports zero-rating. Request it from your bank portal, or use platforms that generate it automatically (Wise e-FIRC within about 3 business days; Payoneer digital FIRA within 24-72 hours).
- Purpose code: every inward remittance carries an RBI purpose code - commonly P0802 for software and IT services. Wrong codes invite queries and slow credits.
- Realisation window: export proceeds must be realised and brought into India within 15 months of the invoice date (raised from 9 months by RBI amendment effective 14 November 2025).
- Records: keep invoices, contracts, delivery proof, bank credit advice and e-FIRA for at least six years, reconciled monthly by invoice-to-credit-to-FIRC.

Choosing how to receive the money

Channel	Best for	Cost character
Direct SWIFT wire to your Indian bank	Larger one-time payments (USD 10,000+)	Transparent; bank inward remittance fee roughly ₹100-500 plus the bank's FX spread
Wise Business	Direct-invoicing freelancers; US/UK/EU clients	No receiving fee; mid-market exchange rate plus a small conversion fee; free INR transfer to any Indian bank; e-FIRC automated
Payoneer	Upwork, Fiverr and other marketplace earnings	0 percent receiving fee from marketplaces; up to about 1 percent on direct payments plus FX margin; digital FIRA issued per transaction
PayPal	Small payments, convenience	Receiving fee around 2.9 percent plus a fixed fee, with an FX margin on top - the costliest option; fine for small amounts, expensive at scale
RazorpayX International / others	India-first workflows	Worth comparing for INR settlement speed; confirm e-FIRA support before committing

A freelancer earning USD 3,000 a month loses roughly ₹12,000-15,000 a year routing direct client payments through the expensive default versus the mid-market route. Check the cost of your current channel against what you actually receive versus the Google rate on your next payment - the difference, annualised, is the real price of convenience.

GST registration for exporters below ₹20 lakh

If your aggregate turnover is below ₹20 lakh (services), registration is not mandatory even if all your clients are abroad. Many freelancers register voluntarily anyway, because registration is the gateway to the LUT and to refunds of the GST paid on business inputs. The trade-off is return-filing compliance (monthly, or quarterly under the QRMP scheme if turnover is under ₹5 crore). Run the numbers with your CA once your input GST crosses roughly ₹15,000 a year.

CHAPTER 9

Tax and TDS Decoded - FY 2026-27

The tables a freelancer actually needs: TDS on your invoices, presumptive taxation, GST, advance tax and the new-regime slabs.

TDS: when clients cut 10 percent before paying you

If your Indian client is a company or a business subject to audit, they must deduct tax at source on your professional fees under Section 194J once payments to you cross the annual threshold. From FY 2025-26 that threshold is ₹50,000 per client per year (raised from ₹30,000). Professional services attract 10 percent; if the client classifies your work as technical services, 2 percent. No PAN furnished? 20 percent. TDS is not extra tax - it is your own tax paid in advance, credited against your liability and refundable when you file.

Your client's classification of your work	TDS rate	Applies when annual payments exceed
Professional services (design, legal, accountancy, architecture, etc.)	10%	₹50,000
Technical services (software development, technical consultancy)	2%	₹50,000
You did not furnish your PAN to the client	20%	From the first rupee

- Every quarter, pull Form 26AS and AIS from the income tax portal and check that TDS deducted by clients actually appears there. Clients sometimes deduct and fail to deposit - the earlier you catch it, the easier it is to fix (a client's failure to deposit surfaced in months, not at filing).
- Collect Form 16A from each deducting client; it is your receipt.
- Foreign clients deduct no Indian TDS - invoice them gross and plan your advance tax accordingly (below).

Presumptive taxation: the 50 percent rule

For income earned from 1 April 2026, the new Income-tax Act, 2025 replaces the 1961 Act's Section 44ADA with Section 58 - the scheme continues with the same numbers. If your work is one of the professions specified under Section 44AA(1) (legal, medical, engineering, architectural, accountancy, technical consultancy, interior decoration, film artist, company secretary, information technology), you can declare 50 percent of gross receipts as income, keep no detailed books and face no audit. The receipts ceiling is ₹50 lakh, rising to ₹75 lakh if cash receipts stay at or below 5 percent of the total - which, for a freelancer paid by UPI, NEFT or wire, is automatic.

- The caveat most guides skip: if your work is not on the specified list (many writers, designers and creators are not), you cannot use 44ADA/58. The parallel business scheme 44AD (6 percent of digital turnover, ₹2 crore / ₹3 crore limits) is the usual fallback. This is genuinely contested territory - confirm your specific trade with a CA before filing.
- Where it pays off: if your real expenses are under 50 percent of receipts, presumptive taxation taxes you at the same place with none of the bookkeeping. If your costs are higher (heavy software, contractors, equipment), regular ITR-3 filing with actual expenses may beat it.
- Regime switching: business income filers can move from the new regime to the old only once - a one-way door. Choose deliberately, ideally with professional input.

GST quick reference

Question	Answer
Registration threshold (services)	₹20 lakh aggregate turnover (₹10 lakh in special-category states). Turnover counts exports too, and is total receipts, not profit
GST on Indian clients (if registered)	18 percent (CGST+SGST intra-state; IGST inter-state)
GST on foreign clients	0 percent - zero-rated export; LUT filed annually before the first export invoice
Return filing	GSTR-1 by the 11th and GSTR-3B by the 20th of the following month; QRMP scheme allows quarterly filing if turnover is under ₹5 crore
Voluntary registration	Optional below the threshold; worth considering for LUT access and input-tax-credit refunds once input GST crosses roughly ₹15,000 a year

Advance tax: the 15 March rule

If your total tax for the year exceeds ₹10,000, you owe advance tax. Under presumptive taxation (44ADA/58 or 44AD), the entire amount can be paid in a single instalment by 15 March. Without presumptive taxation, the standard quarterly schedule applies: 15 June, 15 September, 15 December and 15 March. Missing instalments attracts interest under Sections 234B and 234C at 1 percent per month, and late filing fees under Section 234F reach ₹5,000 (under ₹5,000 of income if total income is below ₹5 lakh). ITR-4 (Sugam) is the form for presumptive filers with total income up to ₹50 lakh; ITR-3 is for the books-and-expenses route.

New-regime slabs, FY 2026-27 (AY 2027-28)

Income slab	Rate
Up to ₹4,00,000	Nil
₹4,00,001 - ₹8,00,000	5%
₹8,00,001 - ₹12,00,000	10%
₹12,00,001 - ₹16,00,000	15%
₹16,00,001 - ₹20,00,000	20%
₹20,00,001 - ₹24,00,000	25%
Above ₹24,00,000	30%

Plus a 4 percent health and education cess on the tax amount. The Section 87A rebate of up to ₹60,000 wipes out tax entirely on taxable income up to ₹12 lakh - for a freelancer under presumptive taxation, that means gross receipts up to roughly ₹24 lakh can result in zero income tax. One caution that commonly trips freelancers: the ₹75,000 standard deduction applies only against salary and pension income. On freelance professional income there is no standard deduction - your tax-free ceiling is ₹12 lakh of taxable income, not ₹12.75 lakh.

CHAPTER 10

The Money System

The five habits that keep a freelance business solvent: separate money, tax reserve, ageing report, records, and a compliance calendar.

1. Separate the money

Open a separate bank account - savings is fine to start, a current account once receipts grow (several banks offer zero-balance current accounts for freelancers) - and route every professional payment through it. Mixing personal and business money is how quarters end in surprises, how TDS reconciliation becomes guesswork, and how the biggest tax question of the year ('what did I actually earn?') takes days instead of minutes.

2. Move the tax out on the day you're paid

The rule that prevents every March crisis: on the day a client payment lands, move 25 to 30 percent of it to a separate deposit or savings account labelled 'tax'. For a presumptive filer at typical slabs, that fund is comfortably sufficient when 15 March arrives; anything left is your surplus. Waiting until March to 'see what's left' is how freelancers end up paying advance tax out of a month they can least afford it.

3. Keep an ageing report

Bucket	Meaning	Action
0-7 days	Current, within terms	Nothing - healthy
8-15 days	Early delay	Script 2/3 (Chapter 6)
16-45 days	Serious delay	Script 4, then Script 5; stop new work for the client
46+ days	Recovery territory	Script 6 demand letter; MSME Samadhaan filing; cheque-bounce clock if applicable

One spreadsheet: client, invoice number, date, amount, days outstanding, last action. Reviewed every Monday. This single habit is the difference between a freelancer who is owed money and a business with receivables.

4. Concentration rule: no client above 50 percent

The most-reported freelancing catastrophe after non-payment is losing a single major client - it scored highest of all problems in the r/freelance analysis. Guardrail: no single client should exceed roughly half your monthly revenue. Above that, treat every month as one conversation away from a crisis, and invest fixed hours in pipeline-building even when busy.

5. The compliance calendar

When	What
Every payment	Move the tax reserve; file the e-FIRA/receipt against its invoice
Monthly	Reconcile bank credits against invoices and Form 26AS entries; review ageing report

When	What
Quarterly	Check AIS/26AS for TDS deposited by clients; GST filings if registered (or quarterly under QRMP)
Before first export of the FY	File the LUT for the year (GST RFD-11)
15 June / 15 Sep / 15 Dec	Advance tax instalments (non-presumptive filers)
15 March	Single advance-tax instalment for presumptive filers; year-end invoicing push
Apr-Jun	File the ITR (non-audit deadlines have fallen in this window in recent years; check the e-filing portal for the exact date)
Each new contract	Chapter 4 agreement signed, advance received, scope initialled - before work begins

The whole kit in one sentence

Vet the client, sign the scope, take the advance, invoice like a business, follow the calendar, and let the system - never your mood - decide what happens to a delayed payment.

CHAPTER ✓

The Master Get-Paid Checklist

Print this page. One checklist that compresses the entire kit into the moments where money is won or lost.

Before you sign

- Client vetted: company found on MCA / GSTIN verified / LinkedIn checked (Chapter 3)
- Written scope with deliverables, exclusions and revision limits agreed
- Contract sent: all ten clauses, arbitration city, 18% late interest (Chapter 4)
- Udyam registration current, predating the contract (Chapter 7)

Before you start work

- Advance received and reconciled - 30 to 50 percent
- Milestone table (Annexure A) shared and initialled by the client
- Invoice format chosen and prepared: A, B or C (Chapter 5)

During the project

- Scope changes only by email, quoted before execution
- Each milestone delivered with written acceptance requested in reply
- Final files, source code and credentials held back until final payment

At delivery

- Invoice sent the same day, with due date, payment details and interest clause printed
- Delivery confirmation received (email reply or signed delivery note)
- Delivery date recorded - it starts the 45-day MSME clock

After invoicing

- Day 3 overdue: Script 2. Day 10: Script 3. Day 20: Script 4. Day 30: Script 5. Day 45: Script 6 (Chapter 6)
- Quarterly: Form 26AS/AIS checked against TDS deducted (Chapter 9)
- Abroad: e-FIRA downloaded for every receipt; records kept six years (Chapter 8)

Every month

- Ageing report reviewed Monday morning; tax reserve moved the day money lands
- No client above 50 percent of revenue without a pipeline plan

CHAPTER +**Sources & Disclaimer**

Every fact in this kit was verified against these official and primary sources in September 2026.

Tax law: Income Tax Department (incometax.gov.in) - presumptive taxation pages, TDS rules and the AY 2026-27 slab tables; the Income-tax Act, 1961 (Sections 44AA, 44AD, 44ADA, 194J, 234B, 234C, 234F, 87A, 115BAC) and the Income-tax Act, 2025 (Section 58). GST law: the CGST Act, 2017 (Sections 22, 24, Rule 46), the IGST Act, 2017 (Sections 2(6), 13, 16), Rule 96A of the CGST Rules, and the GST portal (gst.gov.in). MSME recovery: the MSMED Act, 2006 (Sections 15-24), the MSME Samadhaan portal (samadhaan.msme.gov.in), Udyam portal (udyamregistration.gov.in), and the Supreme Court's decision in *Silpi Industries v. Kerala SRTC* (2021). Cheque recovery: the Negotiable Instruments Act, 1881, Section 138. Cross-border rules: Reserve Bank of India notifications under FEMA, including the inward-remittance realisation window effective 14 November 2025, and purpose-code classifications; Authorised Dealer bank guidance on e-FIRA/e-FIRC issuance. Platform costs and features: published pricing and documentation of Wise, Payoneer, PayPal and Indian banks (current as of September 2026 and subject to change). Freelancer payment-dispute data: Freelancers Union research and a 2026 analysis of 109 r/freelance posts.

This kit provides general information for freelancers about payment practices, GST, income tax and recovery options in India. It is not legal, tax or financial advice, and reading it does not create a client-advisor relationship. Rules change and their application depends on your facts. Before acting on anything here that materially affects you, confirm with a qualified chartered accountant or advocate.

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